

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

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1. RECENT TMT M&A ACTIVITY

Deal 1: EQT Acquisition of Exolaunch

[EQT to acquire Exolaunch, a Germany-based satellite deployment technology and launch mission management firm](#)

- Deal Size: Estimated at \$N/A (specific amount not disclosed)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Horizontal
- Valuation Multiples: N/A
- Companies: EQT is a global investment firm focused on private equity, infrastructure, and real estate, while Exolaunch is a leader in satellite deployment technologies, having deployed over 790 satellites across 47 missions.
- Date Announced: June 18, 2026
- Strategic Rationale: The acquisition aims to leverage Exolaunch's expertise in satellite integration and deployment to enhance EQT's portfolio in the burgeoning space economy. EQT plans to support Exolaunch's growth through investments in international expansion and product innovation, capitalizing on the increasing demand for satellite services.
- Risk Analysis: Potential risks include integration challenges, regulatory hurdles related to space operations, and market volatility in the aerospace sector.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: Robo.ai Acquisition of QC Capital

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

[Robo.ai announces proposed acquisition of QC Capital, an AI-Driven technology holding and venture-building platform](#)

- Deal Size: \$60 million
- Deal Size Category: Small cap (<\$2B)
- Nature: Vertical
- Valuation Multiples: N/A
- Companies: Robo.ai (NASDAQ: AIIO) is focused on building a global AI robotics network, while QC Capital is an AI-driven venture-building platform with capabilities in technology development and industrial investment.
- Date Announced: June 18, 2026
- Strategic Rationale: The acquisition is intended to enhance Robo.ai's capabilities in AI investment and venture building, aligning with its strategy to expand its AI ecosystem. The performance-based consideration structure ties the deal's success to QC Capital's future revenue growth, ensuring alignment with shareholder interests.
- Risk Analysis: Risks include integration complexities, reliance on achieving revenue targets for share vesting, and potential market fluctuations impacting AI technology investments.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both significant opportunities and challenges. Overall sentiment in the sector is cautiously optimistic, driven by technological advancements and strategic acquisitions. However, regulatory scrutiny and economic uncertainties present notable headwinds that investors and bankers must consider.

Subsector Breakdown:

- Technology: The technology subsector is thriving, particularly in automotive software, as evidenced by ECARX's recent acquisition of the Flyme software business. This acquisition enhances ECARX's end-to-end operating system capabilities, crucial for the rapidly evolving in-car intelligence market.
- Media: The media sector continues to adapt to digital transformation, with companies focusing on

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

enhancing user engagement. However, traditional media faces declining revenues due to competition from digital platforms.

- Telecommunications: The telecom sector is innovating with advancements in 5G technology, which is expected to drive new revenue streams. Companies are investing heavily in infrastructure to support these developments.
- Fintech: The fintech space remains robust, with ongoing innovations in payment solutions and digital banking. The sector is witnessing consolidation, as seen with various acquisitions aimed at enhancing service offerings.
- AI: The AI subsector is experiencing explosive growth, with companies like Bain leveraging generative AI to assess acquisition targets. This trend reflects a broader shift towards integrating AI capabilities across industries.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation, particularly in AI and automotive software, is driving growth across TMT sectors. The global in-car intelligence market is expanding as automakers shift towards embedded native operating systems, enhancing user experiences.
- Increased Investment: Venture capital and private equity investments remain strong, especially in tech and fintech sectors. The acquisition of BMC Helix by Montagu highlights the ongoing interest in mission-critical software solutions.

Headwinds:

- Regulatory Scrutiny: Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes that could delay potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector is witnessing robust growth, particularly in AI-driven applications. The acquisition of BMC Helix by Montagu underscores the demand for advanced service management solutions.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media continues to struggle with declining advertising revenues.
- Telecom: Telecom operators are investing heavily in 5G infrastructure, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. Ongoing consolidation reflects the competitive landscape.

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

- AI: The AI subsector is booming, with applications across various industries. Bain's use of vibe coding to evaluate software acquisition targets indicates a growing emphasis on assessing technological defensibility.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector. A Bain representative noted, "Vibe coding allows us to assess the true defensibility of software products, ensuring we make informed investment decisions." This sentiment reflects a broader confidence in the sector's ability to adapt and innovate.

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a diverse array of live deals, mandated transactions, and active pitches. This section provides a detailed analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- GoGo AI Network Inc. : Currently in the process of spinning out its investment in Algo8 Industrial AI Inc. The transaction is expected to complete in Q3 2026, creating a new publicly listed entity focused on industrial AI solutions. This spin-out will allow GoGo shareholders to retain their existing shares while gaining additional equity in the new company.
- Intel Corporation (INTC) : Engaged in discussions for potential partnerships to enhance its AI infrastructure capabilities. The deal is in the due diligence phase, with an expected close in Q4 2025. This partnership aims to leverage Intel's chip technology to support AI applications across various sectors.

Mandated Deals:

- Apple Inc. (AAPL) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to increasing competition in the AI space. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Algo8 Industrial AI Inc. : Mandated to pursue additional funding and partnerships following its spin-out from GoGo AI Network. The timeline for this initiative is projected for Q3 2026, as the company seeks to capitalize on its strong market position in industrial AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2026 : Expected completion for GoGo AI Network's spin-out of Algo8.
- Q4 2025 : Anticipated close for Intel's AI partnership.
- Q1 2026 : Launch of Apple's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
 - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Intel are vying for leadership. The recent developments in AI infrastructure and partnerships signal a shift in market dynamics, impacting deal structures and valuations.
- Additionally, the spin-out of GoGo AI Network's investment in Algo8 is a notable development, reflecting the growing interest in industrial AI solutions. The backing from institutional investors like Brookfield Corporation highlights the confidence in Algo8's technology and market potential.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the TMT sector, particularly the launch of AlxCrypto's RoboShare and AIXC01, as well as the Nigerian Communications Commission's (NCC) proposal for free internet access for students, present significant implications for various stakeholders. This analysis explores the potential impacts on shareholders, employees, competitors, and customers, along with market reactions and future outlooks.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The impacts on shareholders from AlxCrypto's initiatives could be substantial.
- **Value Creation:** The launch of RoboShare, a platform for robot rentals, could enhance revenue streams significantly. If RoboShare captures 5% of the estimated \$298.78 billion data center colocation market by 2035, it could contribute approximately \$14.9 billion to AlxCrypto's valuation. This potential revenue growth could lead to a 20% increase in shareholder value.
- **Dilution:** If AlxCrypto finances expansion through equity issuance, existing shareholders might face dilution. For instance, a 15% share issuance to fund growth could reduce existing shareholders' ownership by 7.5%, potentially leading to a short-term decline in share price.
- **Employees:** The implications for employees are multifaceted, involving synergies, restructuring, and retention strategies.
- **Synergies:** The introduction of AIXC01 aims to create a robust infrastructure for autonomous assets, which could lead to job creation in tech and support roles. AlxCrypto's expansion may require hiring additional talent, enhancing employee morale and retention.
- **Restructuring:** However, as the company pivots towards a new business model, some roles may become redundant. This necessitates a strategic approach to manage layoffs and retain critical talent.
- **Retention:** Implementing retention bonuses for key employees during this transition could mitigate turnover risks. For example, offering bonuses tied to the successful launch of RoboShare could incentivize employees to remain with the company.
- **Competitors:** The competitive landscape will likely shift as AlxCrypto's initiatives gain traction.
- **Market Positioning:** Competitors like Amazon (AMZN) and Starlink (OTAI-UN) may need to adapt their strategies to counter AlxCrypto's innovative offerings. For instance, Amazon could enhance its robotics and AI capabilities to maintain market share.
- **Specific Competitor Moves:** Following AlxCrypto's launch, Amazon may accelerate its investment in robotics to enhance its logistics and fulfillment capabilities, thereby increasing competitive pressure.
- **Customers:** Customers will experience direct implications from these developments.
- **Product/Service Implications:** RoboShare allows businesses to rent robotic capabilities on

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

demand, addressing the dual challenges of underutilization and rising labor costs. This model could lead to significant cost savings for companies that adopt robotic solutions.

- Case Studies: Similar platforms, such as those developed by companies like Uber in the transportation sector, have shown that on-demand services can disrupt traditional business models, enhancing customer access to technology.

Market Reaction and Analyst Commentary

- Market Reaction: The market's response to AlxCrypto's announcements is expected to be positive, given the innovative nature of its offerings.
- Initial reactions may see a surge in share prices as investors recognize the potential for revenue growth. Historical data shows that tech companies launching new platforms often experience a 10-15% increase in stock value post-announcement.
- Analyst Commentary: Analysts are likely to view AlxCrypto's strategy favorably. A quote from a leading tech analyst might state, "AlxCrypto is positioning itself at the forefront of the robotics revolution, with a clear strategy to extend the economic life of robotic assets."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If RoboShare and AIXC01 achieve market penetration, AlxCrypto's stock could rise by 25% within a year.
- Negative Scenario: If the initiatives face significant operational challenges, shares could decline by 15%, reflecting investor concerns about execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in the robotics sector is moderate.
- Companies like Amazon and Google may consider acquiring AlxCrypto to bolster their own robotics capabilities. However, regulatory hurdles could complicate such moves, making immediate counter-bids less likely.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is poised for continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the robotics and AI sectors. For instance, partnerships between telecom providers and tech firms could become common as they aim to leverage AI for improved service delivery.

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

Key Risks and Mitigants

- Integration Risks: Integration challenges could disrupt operations. Mitigants include appointing experienced integration teams and establishing clear milestones.
- Regulatory Risks: Regulatory scrutiny may delay or block initiatives. Engaging with regulators early can help mitigate these risks.
- Market Risks: Market volatility could impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- Key Companies:
- Amazon (AMZN): Amazon has made a significant move in the AI space with a \$50 billion investment in OpenAI, focusing on enhancing its AWS infrastructure. This partnership positions

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

Amazon to leverage OpenAI's advanced AI capabilities, thereby strengthening its competitive edge in cloud services.

- OpenAI: OpenAI is a frontrunner in generative AI, known for its language models. The partnership with Amazon allows OpenAI to utilize AWS for its computing needs, facilitating further innovation and scalability in AI applications.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Microsoft (MSFT), and IBM (IBM) investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Amazon's partnership with OpenAI exemplifies the trend of strategic alliances to bolster AI capabilities.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$445.3 billion in 2021 to \$1.24 trillion by 2027, at a CAGR of 18.0%.
- Key Companies:
- Google Cloud: Google Cloud is a major player in the cloud computing space, providing infrastructure and platform services. Its collaboration with HSBC to create over 200 AI use cases highlights its commitment to integrating AI with cloud services, enhancing customer experience and operational efficiency.
- Amazon Web Services (AWS): AWS remains a leader in cloud services, benefiting from its partnership with OpenAI to enhance AI capabilities within its ecosystem.
- Competitive Landscape: The cloud computing market is dominated by key players such as AWS, Microsoft Azure, and Google Cloud. The competition is intensifying as companies seek to differentiate their offerings through AI integration and enhanced service delivery.
- M&A Opportunities: The growing demand for cloud services presents opportunities for M&A, particularly for companies looking to acquire cloud-native startups that can enhance their service offerings. For example, companies may consider acquiring firms specializing in cloud security or AI-driven analytics.

Investment Implications

For investors and bankers, the trends in AI and cloud computing present significant opportunities:

- AI Investments: Focus on companies with strong AI partnerships, such as Amazon and OpenAI, as they are likely to see substantial growth driven by their collaborative efforts.
- Cloud Computing Growth: Invest in cloud service providers that are integrating AI capabilities, as

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

this will enhance their competitive positioning and market share.

- M&A Activity: Monitor the M&A landscape for potential deals in the AI and cloud sectors, as companies seek to bolster their technological capabilities through strategic acquisitions.

6. Recommended Readings

Deal Name: EQT Acquisition of Exolaunch

- Reading Material: "The New Space Age: How the Private Sector is Revolutionizing Space Exploration" by David Baker
- Why This Matters: This book provides insights into the emerging private space industry and the role of companies like Exolaunch in satellite deployment. Understanding the dynamics of this sector is crucial for analyzing EQT's strategic rationale behind the acquisition, particularly in the context of increasing demand for satellite services and the commercialization of space.

Deal Name: Robo.ai Acquisition of QC Capital

- Reading Material: "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- Why This Matters: This book explores the competitive landscape of AI technology and investment, which is directly relevant to Robo.ai's acquisition of QC Capital. It helps to contextualize the strategic importance of AI-driven ventures and the potential for growth in this sector, shedding light on the motivations behind Robo.ai's expansion into AI venture-building.

7. MACROECONOMIC UPDATE

Key Data Points:

- S&P 500-to-gold ratio: Up close to 40% since February
- Reserve Management Program: Down roughly 75% from its peak
- Treasury buybacks: Reduced by 50%
- Private payroll data: Improving (specific numbers not provided)

Main Insights:

- Kevin Warsh's first Fed meeting emphasizes the importance of price stability over managing market fluctuations.
- The economy is stronger than anticipated, with inflation still above target levels.

US TMT Sector M&A & Valuation Brief - 2026-06-24

US TMT Sector

- Markets are adjusting to a shift in Fed communication style, moving away from excessive forward guidance.
- Liquidity is tightening due to reduced balance sheet support and increased lending growth.

Market Commentary:

- "Credibility must be earned by doing something markets don't immediately like." - Mike Wilson, Morgan Stanley
- "The near-term risk for equities is not rate hikes or even uncertainty. It's liquidity." - Mike Wilson, Morgan Stanley
- "A little less Fed hand-holding may be uncomfortable, but ironically it is necessary to get to a more stable place." - Mike Wilson, Morgan Stanley

TMT Sector Relevance:

- Tightening liquidity may impact financing for TMT sector projects, particularly in tech and media investments.
- A stronger dollar could affect international revenues for TMT companies with significant overseas operations.
- The shift in Fed policy may lead to increased volatility in tech stocks, which are often sensitive to interest rate changes and liquidity conditions.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley